

JUSTIFICATION
FOR AN EXCEPTION TO FAIR OPPORTUNITY

1. Contracting Activity: Department of Veterans Affairs (VA)
Office of Procurement, Acquisition, and Logistics
Technology Acquisition Center
23 Christopher Way
Eatontown, NJ 07724
2. Description of Action: The proposed action is for a sole source Task Order (TO), issued under the Transformation Twenty-One Total Technology Next Generation Contract (T4NG) VA118-16-D-1003 with GovCIO, LLC (referred to herein as GovCIO), 4000 Legato Rd, Ste 6000, Fairfax, VA 22033. The proposed action is for a 12-month base period, with 2 12-month option periods and 6 optional tasks for the renewal of brand name EXL LifePro Commercial-off-the-Shelf (COTS) software and associated configuration services. In addition, VA requires support services for Life Insurance Policy Administration Solution (LIPAS).
3. Description of the Supplies or Services: VA Office of Information & Technology, Product Delivery Service, Benefits and Memorials Services Portfolio Insurance Service currently uses LIPAS, which has been branded "VISION" or LIPAS/VISION to maintain and manage Veteran life insurance policies, including managing insurance policyholder records, processing new insurance applications, performing policy maintenance actions, processing insurance claims, distributing payments, and generating correspondence to policyholders and their beneficiaries. LIPAS/VISION is powered by a suite of software including EXL LifePro, LifePro Digital Suite, and SmartComm (usage license). The aforementioned software requires renewal and maintenance of each license annually to ensure seamless support.

In order to continue providing Veterans with the world class service they deserve, VA Insurance Service must further modernize and enhance the current LIPAS/VISION to ensure a sustainable solution that supports the efficient operation of Insurance Service. These enhancements to LIPAS include increased automation and leveraging Artificial Intelligence (AI) to increase efficiencies. Support services include project management, enhancements and development scrum teams, and sustainment scrum teams. Insurance Service requires an agile development program to collaborate with its business subject matter experts to develop enhancements, increase automation, implement AI, improve processing with added efficiencies, and integrate with both internal and external systems.

Insurance Service requires a sustainment program and service level agreement to ensure optimal system availability and performance during business hours, prompt resolution of reported help desk incidents and requests, as well as reliable after-hours operations to execute and monitor daily cycle processing, batch processing, and data transmissions with external interface partners to ensure successful overnight processing. VA also requires that this solution be interoperable and compatible with VA Insurance's existing platform.

The period of performance for this proposed action shall consist of a 12-month base period, with 2 12-month option periods and 6 optional tasks to provide additional sustainment support, additional development support, base product enhancements, system expansion, cloud migration and transition, if required. The total estimated value of the proposed action is [REDACTED] inclusive of all option periods and optional tasks.

4. Statutory Authority: The following sole source requirement is being justified and approved as an exception to fair opportunity under the statutory authority of Section 41 U.S.C. 4106(c)(2) as implemented by the Federal Acquisition Regulation (FAR) Overhaul VA Deviation 16.507-6(b)(2), entitled "Only one awardee is capable of providing the supplies or services required at the level of quality required because the supplies or services ordered are unique or highly specialized."

5. Rationale Supporting Use of Authority Cited Above: The original TO was awarded to GovCIO as a result of a competitive action under the T4NG Indefinite Delivery Indefinite Quantity contract. In the initial TO and subsequent follow-on, extensive effort was completed over a seven-year period to modernize and migrate the VA's Mainframe Insurance System to the Amazon Web Services Cloud Infrastructure. Significant data manipulation and business rule management was conducted to successfully migrate hundreds of thousands of policies and data from the Legacy IBM Mainframe to LIPAS. GovCIO developed and implemented the LIPAS Solution utilizing the EXL brand LifePro solution's native workflow within VA and adapted the Insurance Service business processes to that workflow. No other brand name software, other than EXL's LifePro suite, can meet all of VA's requirements or all of VA's interoperability and compatibility requirements, without a significant redesign and redevelopment of LIPAS. There are integral VA managed systems that are configured to work with the LIPAS Solution and EXL brand name software. These systems include Electronic Insurance, the Insurance Service public facing website, and Insurance Service General Ledger. These systems have been tailored to work and operate with the LIPAS solution.

EXL LifePro has been customized for VA with regular maintenance releases to meet requirements that are unique to VA. Examples of these customizations include the development of functionality and customizations for the congressionally mandated Veterans Affairs Life Insurance (VALife) program and Veterans Mortgage Life Insurance (VMLI). These enhancements allow the Insurance Service to leverage LIPAS to support Veterans that meet the eligibility requirements for VALife to be automatically and instantly approved for VMLI to be paid directly to the bank or other lender that holds a Veterans mortgage and deploy Service-Disabled Veterans Life Insurance functionality, which enabled Veterans Benefits Administration (VBA) Insurance to offer new policies in LifePRO.

LIPAS is a uniquely complex system. The COTS product, which is designed for private sector insurance companies, has been highly customized to meet the multitude of unique government complexities that do not exist in the public sector. This customization would take several years of development with a new COTS product / solution. VA would need to concurrently maintain a GovCIO sustainment contract in

order to sustain the current LIPAS. This would result in an estimated cost of \$62.9 million and require several years to customize any other COTS product into the solution VA has today. This estimate was determined by new market research exploring alternative solutions, as well as previous acquisition history. Additionally, the re-work associated with a new solution would further set the government behind on new enhancements for several years. Based on market research, there is not an existing COTS system that meets the needs of Insurance Service. These estimated costs cannot be recovered through competition.

GovCIO has an exclusive teaming agreement with EXL for LIPAS to support VA and VBA Insurance requirements. EXL LifePro retains limited rights in technical data and restricted rights in the COTS software that powers LIPAS. The intellectual property rights for EXL LifePro, and the unique and highly specialized services needed for the continued development and sustainment for the follow-on effort, make GovCIO with subcontractor EXL the only source capable of providing the required services. Without access to the intellectual property rights of the EXL LifePro software, no other source could provide the renewal of LifePro software and associated development services related to EXL LifePro. Access to the intellectual property rights for the LifePro software is also required to ensure all services provided are properly configured. Only GovCIO can provide the support services for the LIPAS system as GovCIO is the only vendor authorized to utilize the EXL LifePro data.

In conclusion, if LIPAS were to move away from brand name EXL software provided on a sole source basis from GovCIO it would impose hardship on Veterans due to substantial delays and issues with insurance policies and processing, resulting in a negative impact for payments to Veterans and their beneficiaries, along with inaccurate or irregular deductions from Veterans benefits. Additionally, VALife, which runs on LIPAS, is congressionally mandated and any disruption would result in potential congressional inquiries. The continuation of this support will allow GovCIO to continue this critical work and is the only avenue for VA to avoid spending an estimated \$62.9 million in duplicative costs and requiring approximately 24 months for duplicative efforts.

6. Efforts to Obtain Competition: Market research was conducted, details of which are in the market research section of this document. This effort did not yield any additional sources that can meet the Government's requirements in a short time period and perform at the level of GovCIO without causing severe negative impacts to VA. There is no competition anticipated for this acquisition. In accordance with FAR Overhaul 16.507-6(f)(1), the justification will be made publicly available within 14 days of award.

7. Actions to Increase Competition: The Government will continue to conduct market research to ascertain if there are changes in the marketplace that would enable future actions to be completed.

8. Market Research: The Government technical experts continuously perform market research by conducting internet searches and staying abreast of the current technologies in the field of Life Insurance software. In July 2025, an evaluation of companies Fineos, Majesco, DXC, Equisoft, Sapiens, and Sureify was conducted and

research concluded that these companies do not meet VA's needs for being interoperable and compatible with the existing platform without substantial duplication of effort as described above. Each company utilizes its own insurance platform and does not have the ability to integrate with EXL.

In an attempt to maximize competition, in October 2025, VA conducted additional market research by issuing a Request for Information (RFI) in Contracting Opportunities on SAM.gov to determine if there were other potential vendors who were able to provide the aforementioned requirements for LIPAS/VISION. The Government received two capability statements from the following vendors: GovCIO LLC and Sprague Family Company LLC (SFP). Specifically, the RFI included four questions about the respondents' ability to obtain EXL licenses, ability to obtain SmartComm Licenses, evidence of experience level with EXL, cloud migrations to the VA Enterprise Cloud, and AI implementation. SFP's capability statement failed to provide evidence of an ability to obtain the required EXL licenses nor were they able to demonstrate the required experience with EXL. On December 10, 2025, an email was sent to SFP, requesting that the aforementioned evidence be provided. On December 23, 2025, SFP responded that they were not able to provide written confirmation from EXL supporting a finalized teaming arrangement. As such, only GovCIO LLC was able to sufficiently answer all of the questions in the RFI. Only GovCIO LLC was able to provide evidence of ability to obtain required licenses in the form of an active exclusive Teaming Agreement between GovCIO and EXL. Therefore, it was determined that only one vendor, GovCIO LLC, can perform the work as required in the LIPAS III PWS.

9. Other Facts: None.

10. Technical and Requirements Certification: I certify that the supporting data under my cognizance, which are included in this justification, are accurate and complete to the best of my knowledge and belief.

11. Fair and Reasonable Cost Determination: I hereby determine that the anticipated price to the Government for this contract action will be fair and reasonable based on analysis.

12. Procuring Contracting Officer Certification: I certify that this justification is accurate and complete to the best of my knowledge and belief.

13. Office of General Counsel (OGC) Review:

I have reviewed this document and find it legally sufficient, based on the representations set forth in the documents and, if any, attachments. The Head of the Contracting Activity's approval is an independently supported decision not wholly reliant on the legal sufficiency determination.

Approval

In my role as Head of the Contracting Activity, based on the foregoing justification, I hereby approve the acquisition of a sole source FFP TO to be issued under T4NG Contract Number VA118-16-D-1003 with GovernmentCIO, LLC for the renewal of brand name EXL software and associated development services and support services for LIPAS on another than fair opportunity basis pursuant to the authority cited in Section 4 above, subject to availability of funds, and provided that the property and services herein described have otherwise been authorized for acquisition.

